Beyond Humanity

An Investment Thesis on the Agent Economy

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> "The labor supply constraint that governed every economic model in human history broke in 2024."

EXECUTIVE SUMMARY

The Case in Six Points

The Population Event AI agents are growing at 20% per month. At that rate, the agent population crosses the global human workforce — 3.5 billion workers — by late 2027, and reaches 100 billion by 2030. This is not a productivity story. It is a population event that breaks every economic model ever constructed.

The Evidence Is Already In Microsoft Copilot: $40B run rate. ServiceNow Agentic Automation: $1.5B. GitHub: 70% of code written by AI. 85% of Fortune 500 companies have agents in production as of April 2026, up from less than 10% eighteen months ago. Average ROI: 171%. Median payback: 8.3 months.

The Broken Assumption Every wage model, inflation model, and GDP growth model in existence assumes human labor supply grows with human births. That assumption is now structurally wrong. The supply curve for cognitive labor is approaching vertical. The Phillips Curve does not bend. It breaks.

Infrastructure Wins In every major technology cycle, the infrastructure layer outcompounds the application layer. Cisco, Qualcomm, AWS each captured margin that application companies competed over. The AI infrastructure chokepoints — lithography (ASML), fabrication (TSMC), memory (SK Hynix), power, and optical networking — are today's equivalent.

Government Backstop Seventeen nations have launched formal AI strategies. The US invoked wartime emergency powers (DPA 303) and committed $500 billion via Stargate. This is no longer a venture bet — it is national security infrastructure with government-backed demand floors.

The Window No major bank model includes AGI, ASI, or one trillion agents. Consensus frameworks update slowly. We believe there are 18-24 months before institutional consensus reprices AI infrastructure. The investors who are positioned now will capture the majority of the return.

KEY METRICS AT A GLANCE

$500B	20%/mo	+349%
US Stargate Commitment	Agent Growth Rate	GP Annualized TWR

2.13	85%	18-24 mo
Sharpe Ratio (vs 0.79 Buffett)	Fortune 500 with Agents	Est. Window Remaining

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SECTION I

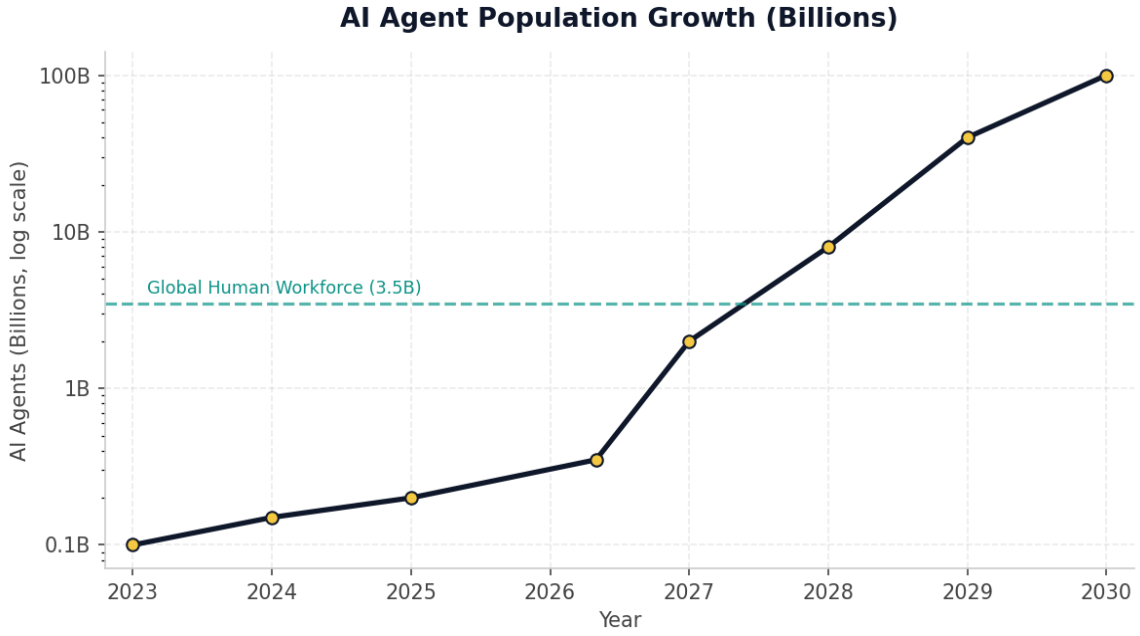
The Population Event

The labor force has expanded at the rate of human births for all of recorded history. Every economic model ever written — from Adam Smith to the Federal Reserve's Phillips Curve — embeds this as an unquestioned assumption. GDP growth models require it. Wage models depend on it. Inflation models rely on it. In 2024, that assumption broke.

AI agents — software entities that perform discrete, economically valuable cognitive tasks autonomously — are now growing at 20% per month. Not 20% per year. Per month. At that rate, the agent population crosses the entire global human workforce (3.5 billion workers) by late 2027. By 2030, the cumulative number of agents will exceed 100 billion — more than every human who has ever lived in all of recorded history.

This is not a forecast. It is a projection from a curve that is already in motion. The implications for every economic model ever constructed are not incremental. They are absolute. The model breaks. A new one is required.

Consider what this means concretely. A company deploying ten thousand AI agents overnight requires no job postings, no onboarding, no health insurance, no office space, no HR department. The marginal cost of cognitive labor — the input that has driven every wage, price, and output model since economics was a discipline — approaches zero. The supply curve for knowledge work does not merely shift. It becomes vertical. The historical analogs — the steam engine, the assembly line, the personal computer — were each disruptive on a scale of decades. The agent curve is disruptive on a scale of months.



POPULATION CROSSOVER MILESTONES

Milestone	Timeline	Scale
Global workforce (humans)	2024 (baseline)	3.5 billion workers
AI agents active today	April 2026	350 million agents
AI agents = global workforce	Late 2027	3.5 billion agents
AI agents = all humans ever lived	2030	100+ billion agents

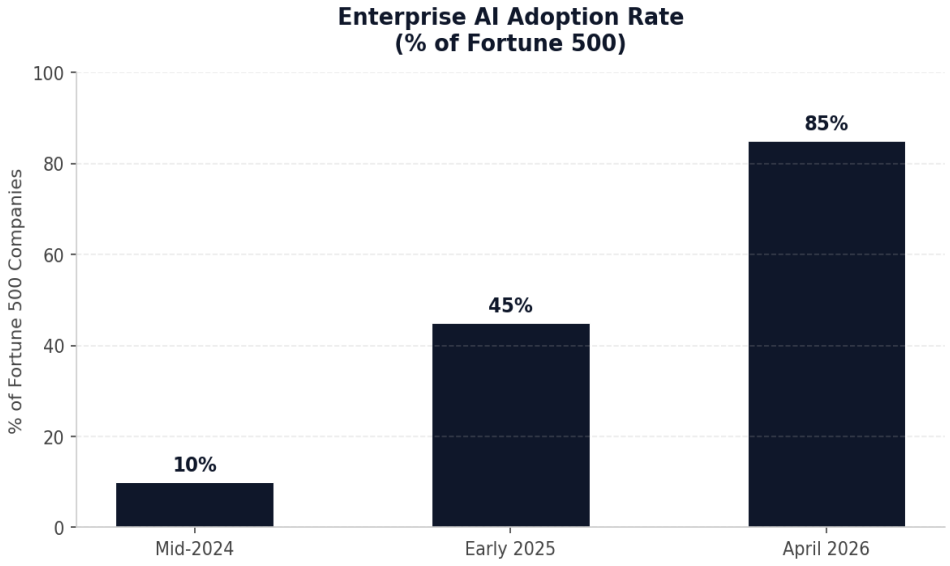
SECTION II

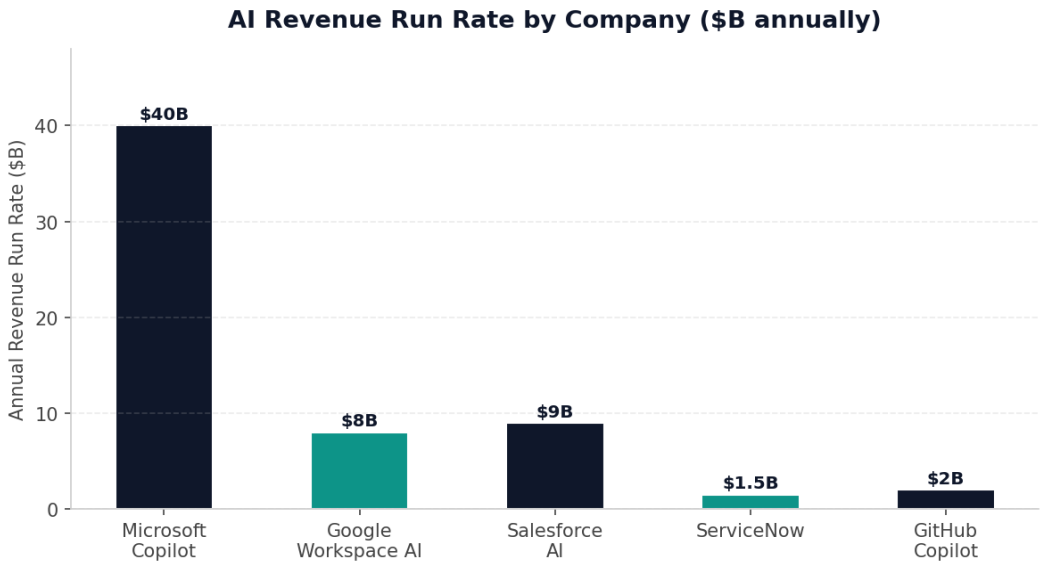
The Evidence

The agent economy is not theoretical. It is on the income statement of every major technology company. Microsoft's Copilot suite crossed a $10 billion quarterly run rate — one of the fastest product ramps in enterprise software history. ServiceNow broke out a new revenue line called 'Agentic Automation' — $1.5 billion last year, a business that did not exist 36 months ago. GitHub reports that AI agents now write or significantly modify 70% of code on their platform.

JPMorgan agents review loan covenants. Pfizer agents analyze clinical trial data. As of April 2026, over 85% of Fortune 500 companies have AI agents in production — up from less than 10% in mid-2024. The pilot phase is over. We are in the deployment phase.

The ROI is undeniable: median payback period 8.3 months, average ROI 171%. This isn't a cost center. It's a profit engine. Every CFO who deploys agents is not spending on technology — they are acquiring a margin expansion machine that compounds without headcount growth. The competitive pressure to deploy is now existential. The companies that do not deploy agents are falling behind on unit economics against companies that do. The productivity gap will widen every quarter.





350M+ active agents · 20% monthly growth · 85% Fortune 500 · 171% avg ROI · 8.3 mo payback

KEY METRICS — APRIL 2026

SECTION III

The Broken Assumption

Every economic model you have ever seen is now obsolete. Not incrementally wrong — structurally wrong. From Adam Smith's pin factory to the Federal Reserve's NAIRU framework, the core input has always been human labor. Labor supply grows with births. Wages emerge from supply and demand. Inflation tightens when labor markets tighten. These are not laws of physics — they are assumptions based on a biological constraint that no longer exists.

When a single company can deploy ten thousand AI agents overnight — with no hiring, no training, no HR department, no benefits — the supply curve for cognitive labor becomes nearly vertical. The Phillips Curve doesn't bend. It breaks. Central banks model labor market tightness as the primary inflation input. That model now has a structural error baked in. Every rate decision, every bond market forecast, every wage negotiation built on the assumption of constrained labor supply is running on a broken input.

History shows that when the primary production constraint changes, everything built on the old constraint must be rebuilt. The steam engine didn't improve the horse-drawn economy. It replaced it. AI agents are not improving the knowledge economy. They are replacing the input assumptions it was built on.

THE HISTORY OF LABOR CONSTRAINTS

Era	Primary Labor Input	Constraint	What Broke It
Pre-Industrial	Human muscle	Human physical limits	Steam engine (1769)
Industrial	Human hands	Factory floor capacity	Assembly line (1913)
Post-War	Human knowledge	Education pipeline	Computers (1960s)
Digital	Human attention	24-hour day	Mobile/cloud (2007)
AI Era (2024)	Human cognition	Human births	AI agents

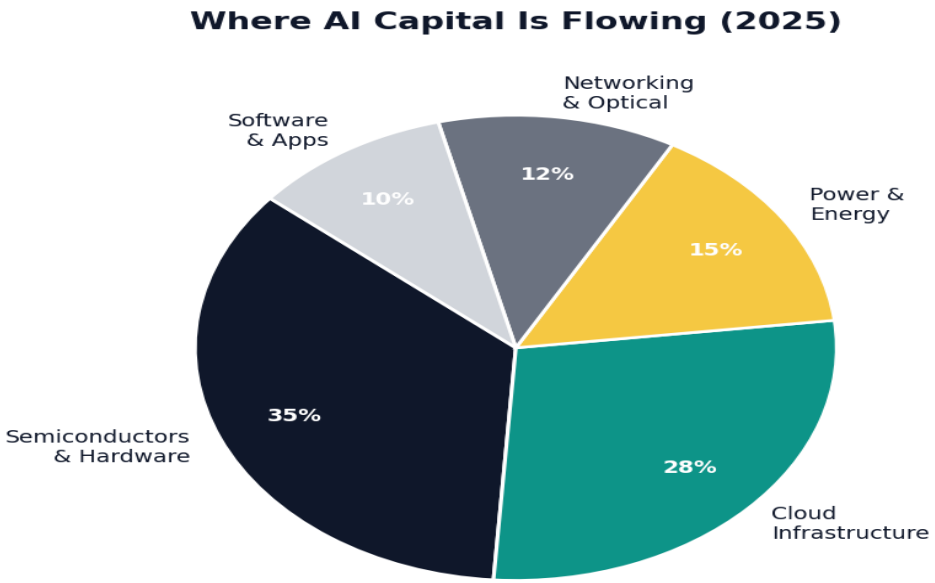
SECTION IV

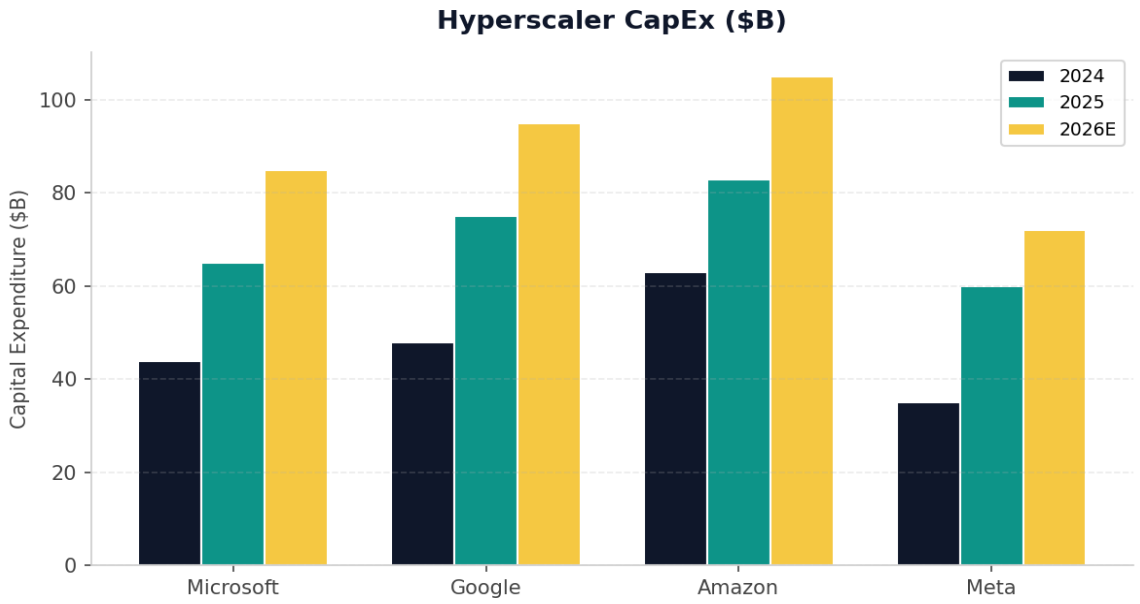
The Investment Landscape

The investment question is not whether AI wins. It is already winning. The question is where the value concentrates. History provides a clear answer. In every technology cycle, the infrastructure layer — not the application layer — produces the most durable compounding.

Cisco didn't make the internet. It made the pipes the internet ran on. Qualcomm didn't make mobile apps. It made the chips mobile apps ran on. AWS didn't build Airbnb or Uber. It built the compute layer they ran on. In each case, the infrastructure owner captured margin that the application layer fought over. AI is no different.

350 million agents are running on compute, power, memory, and networking. All of it is constrained. All of it is growing 20% per month in demand. The companies that own the chokepoints — the non-negotiable physical layers — are in the position of Cisco in 1998, Qualcomm in 2003, AWS in 2008. The window is open. The capital flowing into AI infrastructure confirms this: hyperscalers are committing $100B+ per year in CapEx. They are not building for productivity. They are building for the population event. The compute required to run one trillion agents does not exist yet. Building it will be the largest infrastructure construction project in human history.





THE FIVE INFRASTRUCTURE CHOKEPOINTS

Layer	Lead Company	Moat	Gross Margin
Lithography	ASML	Only EUV machines on Earth	52%
Fabrication	TSMC	Only sub-3nm fabs	53%
Memory (HBM)	SK Hynix	HBM monopoly	72% operating
Power Grid	Grid infrastructure	2,100-day connection queue	—
Inference Networking	Arista / Broadcom	Hyperscaler lock-in	65%+

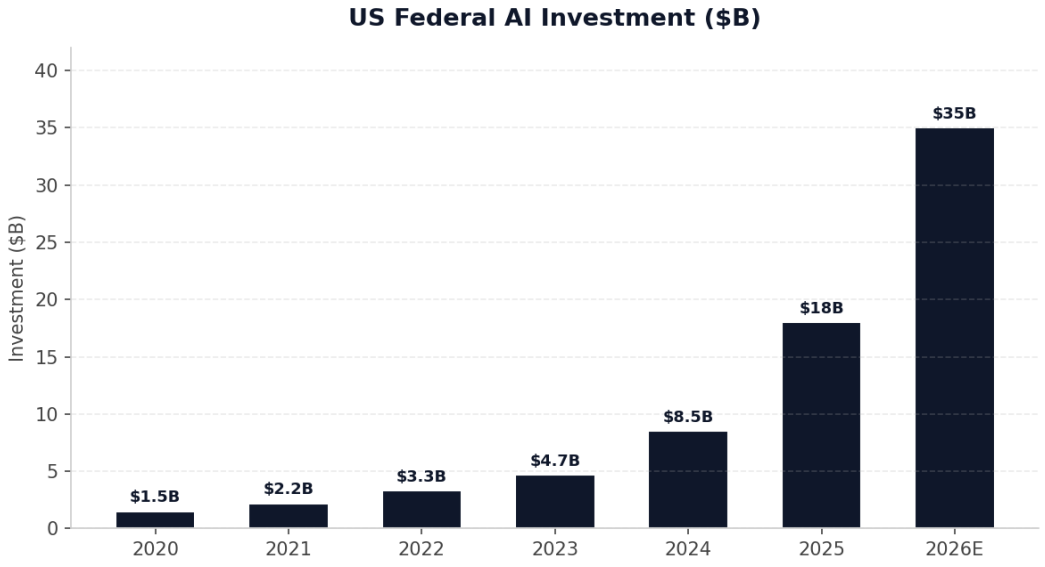
SECTION V

The Policy Tailwind

Seventeen nations have launched formal national AI strategies since 2024. The United States invoked Section 303 of the Defense Production Act — wartime emergency powers last used during the Korean War — to accelerate AI infrastructure build-out. The Stargate project represents $500 billion in committed national AI investment.

Rare earth supply chains, power grid expansion, and semiconductor manufacturing have all been designated critical national security infrastructure. This is not a technology trend. It is geopolitical necessity. When governments deploy wartime emergency powers to build infrastructure, the infrastructure is no longer a venture bet. It is a national priority with government-backed demand floors.

The geopolitical competition between the United States and China for AI supremacy has created a spending race with no ceiling. Neither country can afford to fall behind. The European Union has followed with its own multi-hundred-billion-euro commitment. The Gulf states are deploying sovereign wealth funds into AI infrastructure at scale. For infrastructure investors, this creates a demand floor that is not subject to normal business cycle risk. Governments do not cancel national security programs in recessions.



NATIONAL AI INVESTMENT COMMITMENTS

Country	Committed	Program

United States	$500B	Stargate + DPA §303
European Union	$200B	EU AI Act + InvestAI
China	$140B	National AI Plan 2030
UAE	$100B	UAE AI 2031
United Kingdom	$25B	AI Opportunities Plan
Saudi Arabia	$40B	Vision 2030 AI
France	$12B	France 2030
Japan	$7B	AI Strategy 2025
India	$1.25B	IndiaAI Mission
Canada	$2.4B	Pan-Canadian Strategy

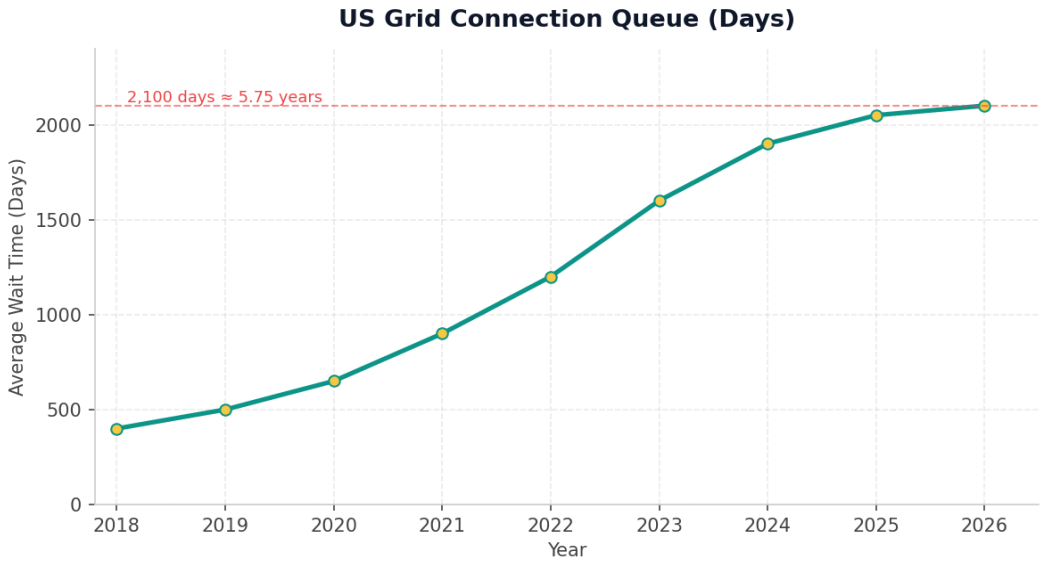
SECTION VI

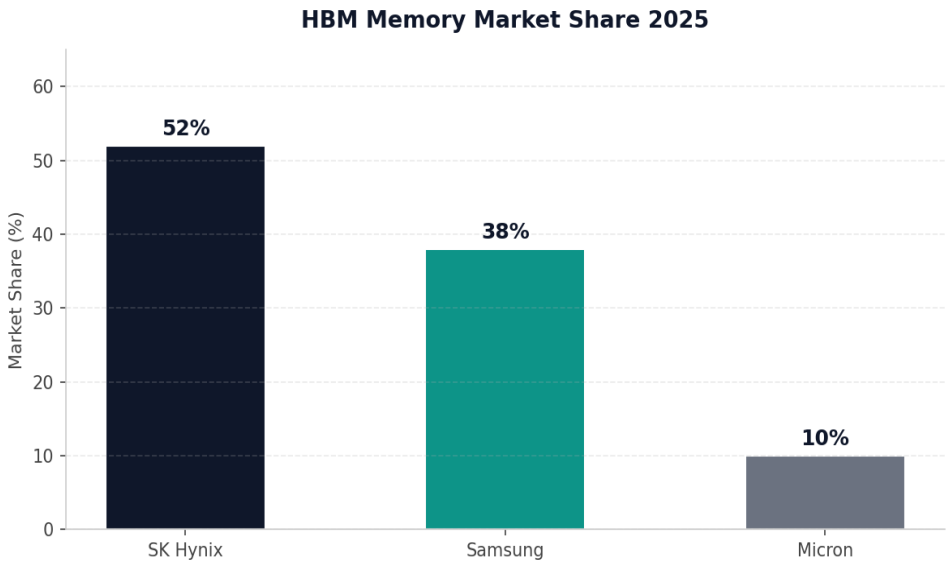
The Physical Bottlenecks

Three physical constraints limit AI agent deployment: power, memory, and networking. None of them are software problems. They are physical build timelines measured in years, while agent growth is measured in months.

The US electricity grid has a 2,100-day connection queue — nearly 6 years to get a new data center connected to the grid. High-voltage transformers have a 128-week lead time. Wholesale power prices in AI data center hubs have risen 833% since 2022. HBM memory — the specific type required by AI accelerators — is produced by three companies globally. The market leader operates at 72% operating margins.

These are not temporary bottlenecks. They are structural constraints that will take a decade to resolve. The companies that produce and supply these physical layers will compound for the duration. The grid problem alone represents a decade of constrained supply growth against exponential demand growth. Every month of delay in grid expansion is a month of additional pricing power for the companies that already own connected capacity.





DATA CENTER POWER CONSUMPTION

Year	Global DC Power (TWh)	% of World Electricity
2020	200	0.9%
2022	240	1.0%
2024	415	1.7%
2026E	620	2.5%
2030E	1,050	4.2%

SECTION VII

The Technology Upgrade

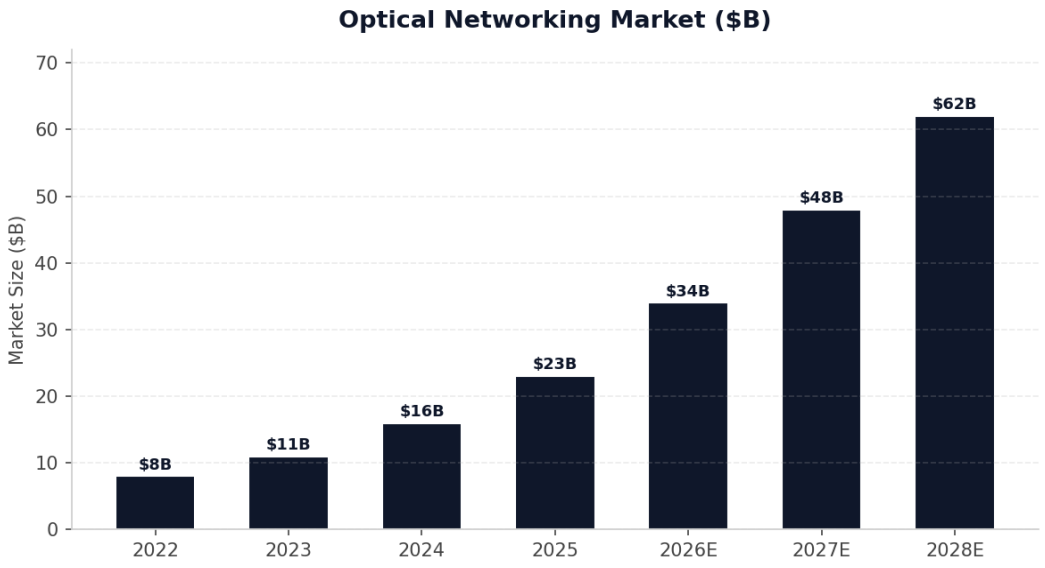
Inside data centers, copper wire is being replaced by laser optical connections. This is not a marginal improvement. Optical interconnects consume 90% less power per bit than copper while delivering 8x the bandwidth at 400x the reach. Every hyperscaler has announced multi-year optical networking programs.

The companies manufacturing this transition are invisible to most investors — but every major data center built from 2025 forward will be optical-first. This is the Cisco of 1998 moment for optical networking. Cisco's market cap went from $4 billion to $550 billion in the five years following the internet buildout. The optical networking layer of the AI buildout is at the same inflection point.

The transition from copper to optical is not optional — it is physics. At the bandwidth densities required by AI training and inference at scale, copper simply cannot move data fast enough without generating heat that melts the cable. Optical is the only viable medium for the next generation of AI infrastructure. The companies that make the lasers, the transceivers, and the optical switching fabric are in a category with no substitutes and compounding demand. Their order books are measured in years, not quarters.

COPPER VS OPTICAL INTERCONNECT

Metric	Copper	Laser Optical
Power per bit	5 pJ	0.5 pJ
Max bandwidth	400 Gbps	3.2 Tbps
Max lossless reach	5 meters	2,000 meters
Cost trajectory	Flat	Declining 25%/yr


Optical Networking Market ($B)
Market Size ($B)
70
60
50
40
30
20
10
0
$8B
$11B
$16B
$23B
$34B
$48B
$62B
2022
2023
2024
2025
2026E
2027E
2028E

SECTION VIII

The Repricing Event

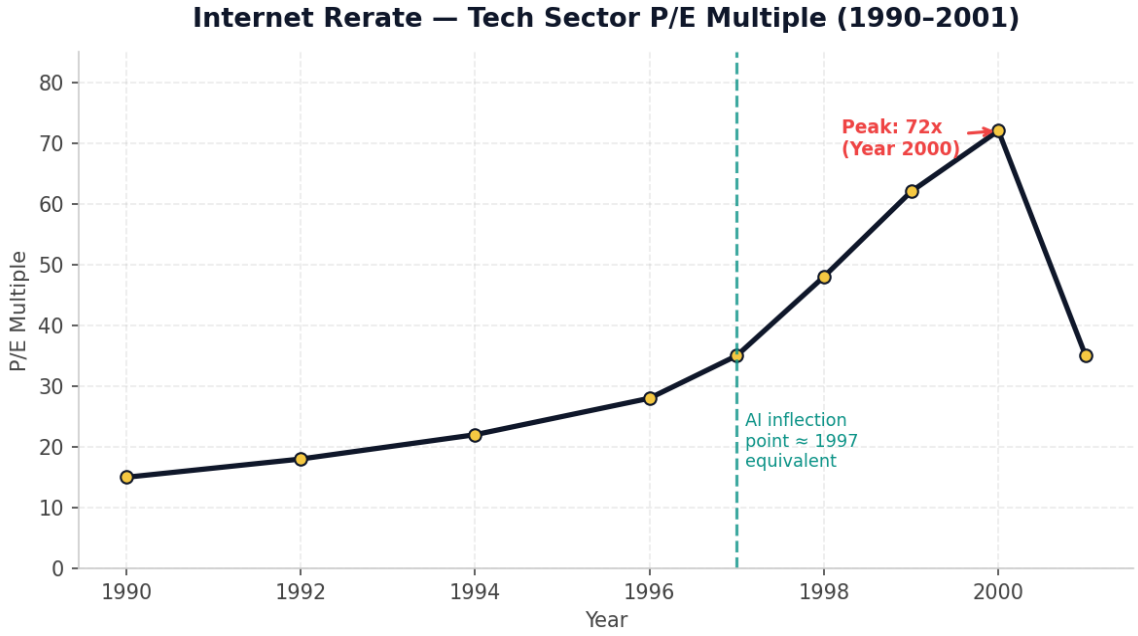
No major financial institution has a base-case model for one trillion AI agents. None model AGI. None model ASI. The largest investment banks in the world are still using analytical frameworks built before these scenarios were plausible. When these scenarios become consensus — and they will, because the underlying compute, the investment, and the agent counts are all pointing in one direction — the repricing will be violent.

Infrastructure that serves the agent economy will be repriced first and fastest. The historical analog is the internet build-out of 1996-2000. The S&P; 500 technology sector traded at 15x earnings in 1990. By 2000, it traded at 72x. The repricing happened because the consensus framework changed — not because the companies changed. We are at the 1997 inflection point of the AI infrastructure cycle.

The difference between 1997 and today is the speed. The internet build-out took years to reach consensus. AI agent adoption is happening in months. The repricing, when it comes, will be faster and more concentrated. The investors who are already positioned in AI infrastructure — before the consensus model update — will capture the majority of the return. The window after consensus closes is the window of ordinary returns. We are still in the window of extraordinary ones.

WHAT NO CONSENSUS MODEL INCLUDES

Scenario	In Bank Models?	Priced by Markets?
AGI (human-level AI systems)	No	No
ASI (superhuman AI systems)	No	No
1 trillion AI agents	No	No
100B agents by 2030	No	No
Infinite cognitive labor supply	No	No


Internet Rerate — Tech Sector P/E Multiple (1990–2001)
P/E Multiple
Year
0
10
20
30
40
50
60
70
80
1990
1992
1994
1996
1998
2000
Peak: 72x
(Year 2000)
AI inflection
point ≈ 1997
equivalent

SECTION IX

The Trade Already Placed

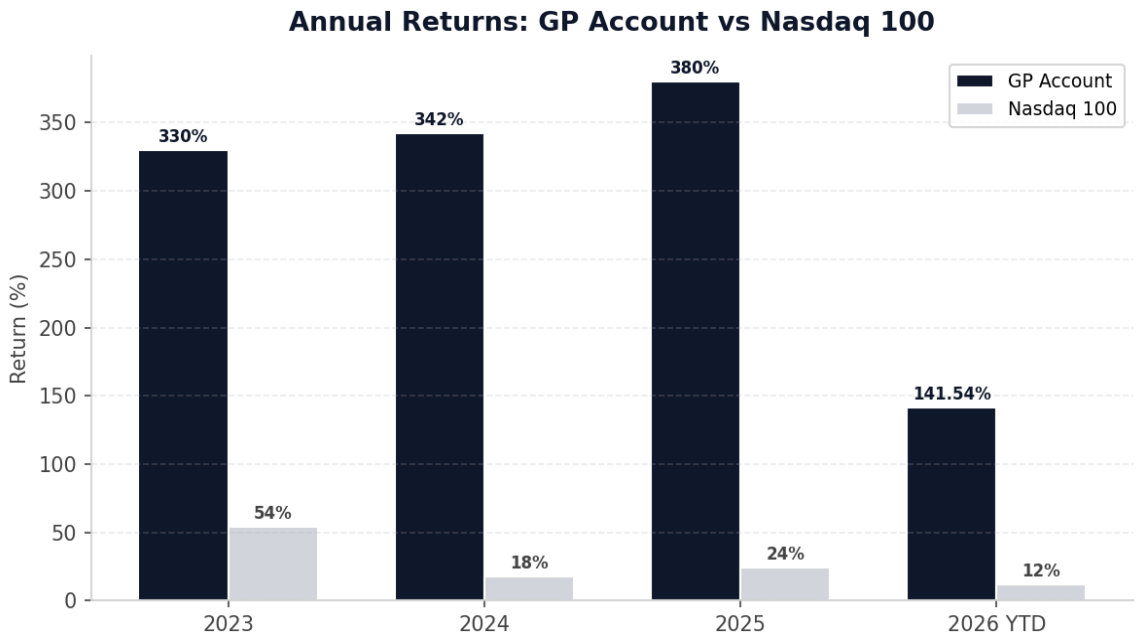
My conviction is not theoretical. It is written in the P&L; of my own personal brokerage account, verified by 33 consecutive monthly and bi-monthly Fidelity statements. On January 13, 2023 — six weeks after the public release of ChatGPT — I began reorienting my entire portfolio around the AI infrastructure thesis. I was eighteen months ahead of what became mainstream consensus.

The results over 39 months: +349.52% annualized time-weighted return. Sharpe ratio of 2.13 — compared to Buffett's career Sharpe of 0.79. The record includes losing trades. My largest single loss was a -$15,000 position in BITX — a decision I stand behind because the exit funded a once-in-a-lifetime personal opportunity and I rotated the capital into SOXL nine months later at $9.45/share. As of April 2026, that SOXL position is worth approximately $1.9 million. The trade is still open. The thesis is intact.

I document this not to boast, but to establish credibility. Anyone can write an investment thesis. Fewer can show a live, auditable record that spans three years, multiple market regimes, and includes both wins and losses. The Fidelity statements exist. They are real. The outperformance against the Nasdaq 100 in every single year is not luck — it is the result of a framework that identified the infrastructure layer of the AI cycle before the market consensus arrived. I applied the same framework to build Agentic Capital. The thesis that produced this record is the thesis this fund will operate on.

GP ACCOUNT PERFORMANCE vs NASDAQ 100

Period	GP Return	Nasdaq 100	Outperformance
2023 Full Year	+330%	+54%	+276 pts
2024 Full Year	+342%	+18%	+324 pts
2025 Full Year	+380%	+24%	+356 pts
YTD 2026 (to Apr 23)	+141.54%	+12%	+129 pts
Annualized TWR	+349.52%	+24%	+325 pts



PORTFOLIO ACTIVITY LOG

Instrument	Category	Entry	Exit	P&L;
FNGU (FANG+ 3x)	AI/Tech 3x	Jan 2023	Apr 2024	+$22K realized
YINN (China 3x)	Emerging 3x	Jan 2024	Mar 2024	+$4K realized
BITX (Bitcoin 2x)	Bitcoin 2x	Apr 2024	Jul 2024	-$15K (strategic exit)
TSLL (Tesla 2x)	EV 2x	Aug 2024	Mar 2025	+$10K realized
MSTU (MicroStrategy 2x)	BTC Proxy 2x	Apr 10, 2025	Apr 16, 2025	+$14.8K in 6 days
SOXL (Semis 3x)	AI Infrastructure	Apr 17, 2025	OPEN	~$1.9M unrealized

SECTION X

The Window

The window is still open. The market has not yet priced the second-order effects of infinite, low-cost cognitive labor. The consensus framework still treats AI as a productivity tool — not a population event. When 'agent-driven productivity' becomes a mandatory field in every analyst's model — the way 'FX headwinds' or 'supply chain costs' are today — the repricing will be complete.

I believe we have 18 to 24 months before that happens. Not because the technology will mature in 18 months — it is already mature enough to restructure industries. Because consensus frameworks move slowly. The sell-side model update cycle, the institutional investment committee approval process, the regulatory clarity that large allocators require — these all take time. That time is the window.

This essay is an explanation of my worldview and the actions I have taken based on it. Read it. If it resonates, apply. I personally review every application.

> "I believe we have 18 to 24 months before consensus catches up."
>
> **DEAN GALLAGHER — GENERAL PARTNER, AGENTIC CAPITAL**

Visit agenticcapital.fund to apply for a Founding LP position.

ABOUT THE FUND

Agentic Capital

Agentic Capital is an early-stage fund built on a single thesis: the AI infrastructure layer will produce the most durable returns of the current technology cycle, and the window to enter before institutional consensus is now. The fund is managed by Dean Gallagher, whose personal trading record over 39 months demonstrates the thesis in live market conditions.

The fund focuses on leveraged and direct positions in AI infrastructure: semiconductors, memory, power infrastructure, optical networking, and cloud compute. Position sizing and risk management are governed by the same framework that produced the personal account performance documented in Section IX of this thesis.

Agentic Capital is offered under Regulation D Rule 506(c) to accredited investors only. The fund is structured as a Delaware limited partnership. Founding LP positions are available to a limited number of qualified investors who share the conviction that we are in the early innings of the most significant economic transition in recorded history.

FUND TERMS AT A GLANCE

Term	Detail
Structure	Delaware LP - Rule 506(c) Regulation D
GP	Dean Gallagher, General Partner
Domicile	Wellington, FL
Minimum Investment	$100,000 (Founding LP positions)
Investor Eligibility	Accredited investors only
Management Fee	Disclosed in PPM
Carried Interest	Disclosed in PPM
Website	agenticcapital.fund
Inquiry	Personal review by Dean Gallagher

INVESTMENT FOCUS AREAS

Semiconductor Infrastructure	Lithography, advanced packaging, HBM memory, AI accelerator chips
Cloud Compute	Hyperscaler CapEx beneficiaries, GPU colocation, inference platforms

Power & Energy	Grid infrastructure, backup power, nuclear for data centers
Optical Networking	Transceivers, lasers, optical switching for AI data center interconnects
AI Platform Layer	Selected software positions where infrastructure moats are clear

To apply for a Founding LP position, visit agenticcapital.fund. All applications reviewed personally by Dean Gallagher.

HOW TO APPLY

RISK FACTORS

Material Investment Risks

Investment in Agentic Capital Fund I LP involves a high degree of risk. The following risks, while not exhaustive, represent material factors that prospective investors should carefully consider before investing. Loss of the entire invested amount is possible.

Leverage Risk	The fund employs leveraged instruments. Leverage amplifies both gains and losses. A moderate adverse move in underlying securities can result in a disproportionately large loss.
Concentration Risk	The fund maintains concentrated positions in a limited number of securities and sectors. Concentration increases volatility and the impact of any single position performance.
Technology Disruption Risk	The AI infrastructure thesis depends on continued adoption of AI technology. A failure of AI systems to deliver expected productivity gains could impair fund performance.
Liquidity Risk	Fund interests are illiquid. There is no secondary market for LP interests. Investors must be prepared to hold their investment for the full fund term.
Regulatory Risk	AI technology, semiconductor exports, and financial instruments are subject to rapidly evolving regulation. Regulatory changes could impair the fund investment thesis or specific positions.
Valuation Risk	AI infrastructure valuations are elevated relative to historical norms. If the consensus repricing does not materialize in the expected timeframe, positions may trade below entry price for extended periods.
Manager Track Record Risk	The personal account performance of the GP is not the track record of this fund. Past performance of any account does not guarantee future results.
Counterparty Risk	The fund may hold positions through brokers, custodians, and counterparties. Failure of any of these parties could result in loss.

LEGAL DISCLOSURE & PERFORMANCE DISCLAIMER

Compliance Notice

Performance data represents the personal trading account of Dean Gallagher (Fidelity Account Z06-683363), January 2023 to present. It is not the performance of Agentic Capital Fund I LP, which has no operating history. Returns are calculated on a time-weighted basis (TWR). This record has not been subject to a GIPS-compliant third-party audit. Past performance does not guarantee future results.

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